

Client Risk Tolerance & Investment Mandate

Sterling Heritage Private Wealth • August 2026

CLIENT INVESTMENT POLICY STATEMENT (IPS)

Client Name: Eleanor Vance

Account Type: Revocable Living Trust

Primary Advisor: Julian Sterling, CFA

Date Executed: August 18, 2026

Investment Objective & Time Horizon:

The primary objective of this portfolio is long-term capital appreciation with a secondary focus on dividend income. The client has indicated a time horizon of 15+ years, intending to pass the principal to designated beneficiaries.

Risk Tolerance Assessment:

Based on the risk questionnaire completed on August 10, 2026, and subsequent advisor consultations, the client's risk profile is classified as "Moderately Aggressive." The client has expressed a willingness to accept higher short-term portfolio volatility (targeting an annualized standard deviation of 12% to 16%) in exchange for superior long-term growth.

Strategic Asset Allocation Targets:

To align with the stated objectives, the portfolio will adhere to the following target allocations:

- Domestic Large-Cap Equity: 45.0% (Allowable Range: 40% - 50%)
- International/Emerging Equity: 25.0% (Allowable Range: 20% - 30%)
- Investment Grade Fixed Income: 15.0% (Allowable Range: 10% - 20%)
- Alternative Investments (Real Estate / Private Credit): 10.0% (Allowable Range: 5% - 15%)
- Cash & Equivalents: 5.0%

Environmental, Social, and Governance (ESG) Constraints:

Per the client's explicit directive, the equity sleeve must employ a negative screening strategy to exclude companies deriving more than 10% of their gross revenue from thermal coal extraction, tobacco manufacturing, or civilian firearms production. The portfolio will be reviewed semi-annually to ensure compliance with these mandates.